

POLICY ATTACHED

Your lifeline ...

at the first sign of a food borne crisis =
Specialty Risk Management, Inc. (SRM)

SRM focuses on minimizing
the effects of a business
interruption to your bottom line.

Our 24-hour crisis management
team can help:

- Help avoid/control the media
- With government regulators
- With your employees
- With your customers

Our 200,000+ client interactions help us offer experienced-based
solutions.

Let us help in the earliest stages before an issue becomes a
business interruption.



800-328-7761

512-328-2545

8:30 a.m. - 5:30 p.m. CST

www.callsrm.com

riskmanagers@callsrm.com

- Staffed with Nationally Certified Professionals
- Hotline Services since 1992
- SRM, Inc. is not the insurance carrier.

***UNDER PENALTY
OF "MATTRESS
TAG POLICE"***

**This flyer is not
to be removed
except
by the insured.**

Using the services of SRM does not guarantee insurance coverage for the attached policy.

Name of Surplus Lines Licensee & License # _____

"The insurance company with which this coverage has been placed is not licensed by the State of North Carolina and is not subject to its supervision. In the event of the insolvency of the insurance company, losses under this policy will not be paid by any State insurance guaranty or solvency fund." (1985, c. 688, s. 1; 2006-105, s. 2.7.)

[illegible]

DECLARATIONS

TRADE NAME RESTORATION®, LOSS OF BUSINESS INCOME AND
INCIDENT RESPONSE INSURANCE FOR FOOD BORNE ILLNESS

A. Insured, Trade Name(s), Policy Certificate No. and Period of Insurance:

Policy Certificate No.: <u>TNR 24 10944</u>	
Insured Name and Address:	<u>D. King Enterprises Inc.</u> <u>11961 S 226 Hwy., Spruce Pine, North Carolina 28777</u>
Trade Name(s):	<u>Western Sizzlin</u>
Period of Insurance:	from <u>01/06/2025</u> at 12:01 A.M. to <u>01/06/2026</u> at 12:01 A.M. (Local Standard Time)

B. Limits of Indemnity and Deductible:

Aggregate Limit of Indemnity for Restaurant Events (section 2.1):	<u>\$1,000,000</u>	Per Period of Insurance
Aggregate Limit of Indemnity for Supplier Events (Section 2.2):	<u>\$1,000,000</u>	per Period of Insurance
Aggregate Limit of Indemnity for Workplace Violence Events (By Endorsement Only):	<u>\$250,000</u>	per Covered Location
	<u>\$250,000</u>	per Period of Insurance
Aggregate Limit of Indemnity for Incident Response Expense (Section 2.3):		
as respects Restaurant Events:	<u>100</u>	% of the Limit of Indemnity for Restaurant Events
as respects Supplier Events:	<u>100</u>	% of the Limit of Indemnity for Supplier Events
as respects Workplace Violence Events:	<u>100</u>	% of the Limit of Indemnity for Workplace Violence Events
Aggregate Limit of Indemnity for Extortion Payments (Section 2.4):	<u>\$1,000,000</u>	per Period of Insurance
Total Policy Aggregate Limit of Indemnity (Section 2.5):	<u>\$1,000,000</u>	per Period of Insurance
Shared Aggregate Limit of Indemnity (Section 2.6):	<u>N/A</u>	per Period of Insurance
Aggregate Limit of Indemnity for Inoculations, Vaccinations and Testing Expenses (Section 2.7):	<u>\$100,000</u>	per Period of Insurance
Crisis Management expenses are outside the Limit of Indemnity		
Deductible (Section 4.7):		
as respects Restaurant Events and Supplier Events:	<u>\$0</u>	Each and Every Incident
as respect Workplace Violence Events (By Endorsement Only):	<u>\$5,000</u>	Each and Every Covered Location

C. Period of Restoration (Section 4.25)

The longest Period of Restoration that may be afforded by this Policy is eighteen (18) months
--

D. Premium:

Premium:	\$ 1,287.00
Policy Fee:	\$ 150.00
State Surplus Lines Tax:	
State Stamping Office Fee:	
Total:	\$ 1,437.00

Covered Locations: 1

There will be a \$1,287.00 charge per each additional **Covered Location** including Workplace Violence Coverage

DECLARATIONS Continued

Policy Certificate No.: TNR 24 10944

Insured(s) Name and Address: D. King Enterprises Inc.
11961 S 226 Hwy., Spruce Pine, North Carolina 28777

Period of Insurance: from 01/06/2025 At 12:01 A.M. to 01/06/2026 At 12:01 A.M. (Local Standard Time)

E. Service of Suit, Claims Notification and Crisis Management:

Service of Suit: Lloyd's America, Inc., Attention: Legal Department, 280 Park Avenue, East Tower, 25th Floor, New York, NY 10017

CLAIMS NOTIFICATION: Professional Liability Insurance Services, Inc. ®
5802 Thunderbird, Building 10, Suite 100, Lago Vista, TX 78645
P: 1-800-761-7547; F: 512-267-6246; Email: claims@plisinc.com

(d/b/a Professional Liability Insurance Services, Inc. – Underwriting Facilities; Professional Liability Insurance Services - Underwriting Facilities; Texas Professional Liability Insurance Services, Inc. - Underwriting Facilities; Professional Liability Insurance Services, Incorporated - Underwriting Facilities; in the state of New York and California, CA License #0G17062 as Texas Professional Liability Insurance Services)

CRISIS MANAGEMENT: Specialty Risk Management, Inc.® ; PHONE: (800) 328-7761; FAX: (512) 328-2486
IF YOU BELIEVE THAT AN INCIDENT HAS OCCURRED, PLEASE CONTACT THE 24-HOUR CRISIS HOTLINE

Forms Included with this Policy:

Covered Locations Endorsement; Workplace Violence Endorsement; LMA 5020 Service of Suit Clause (USA); LMA 5021 Applicable Law (USA); NMA 1256 Nuclear Incident Exclusion Clause Liability Direct (Broad); NMA 45 New Short Rate Cancellation Table Endorsement (USA); U.S. Terrorism Risk Insurance Act Of 2002 As Amended Not Purchased Clause; LMA 3100A Sanctions Limitation Clause; LSW 1001 Several Liability Notice; Pandemic Exclusion; Coronavirus Exclusion; LMA 5460 Cyber Exclusion; TNR Policy Form 02-23.

The Declarations and the forms and any Endorsement(s) listed above and attached hereto, together with the completed and signed Application and supplements, shall constitute the contract between the **Insured(s)** and the Underwriters.

U.S. CLASSIFICATION: Surplus Lines

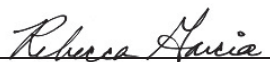
Professional Liability Insurance Services, Inc.; 5802 Thunderbird, Building 10, Suite 100, Lago Vista, TX 78645

EFFECTED WITH: 100% with Certain Underwriters at Lloyd's:

Certain Underwriters at Lloyd's Individual syndicates are as follows:

20.00000%	Syndicate 2012
18.00000%	Syndicate 2623
10.00000%	Syndicate 2987
8.33333%	Syndicate 2001
8.33333%	Syndicate 4141
7.00000%	Syndicate 0623
6.66667%	Syndicate 0457
5.00000%	Syndicate 1955
5.00000%	Syndicate 1618
5.00000%	Syndicate 0510
4.16667%	Syndicate 2988
1.25000%	Syndicate 1880
1.25000%	Syndicate 0727

Countersigned:


Authorized Representative



TRADE NAME RESTORATION® INSURANCE RENEWAL APPLICATION

Loss of Business Income & Incident Response for Food Borne Illness

P: 800.761.7547 | F: 512.327.5834 | E: underwriting@plisinc.com | W: www.plisinc.com

Professional Liability Insurance Services®, Inc.
Underwriting Facility - Since 1983

1. Applicant Company Name: D.King Enterprises Inc
Restaurant Trade Name(s): Western Sizzlin
2. Mailing Address: 11961 S 226 Hwy
3. City, State, Zip Code: Spruce Pine, NC 28777
4. Crisis Management Contact: Darrin or Wanda King Phone: 828-467-3562 Email: wandaking1222@yahoo.com
5. Total Annual Gross Sales (All Locations): \$ 4,000,000 Largest Location Annual Gross Sales: \$ 4,000,000
6. Total Employee Count (All Locations): Full Time 21 Part Time 32
7. Please complete the following for all stores: (or, submit in an accompanying Excel Format spreadsheet)

State	Number of Owned Stores	Number of Franchised Stores
North Carolina	1	1

8. Are the top five food suppliers, product supplied or distributors utilized the same as last year?YES ☒ NO ☐
If no, please provide an updated list
9. During the last five years, has any location experienced or been involved in any of the following?
 - a. An accidental or malicious contamination incident resulting in a business interruptionYES ☐ NO ☒
 - b. An extortion attemptYES ☐ NO ☒
 - c. Cited or closed down by any public health authority or civil authorityYES ☐ NO ☒
 - d. A food borne illness incident resulting in a business interruptionYES ☐ NO ☒
 - e. A workplace violent event.....YES ☐ NO ☒
 - f. A supplier recall eventYES ☐ NO ☒If Yes to any of the above, provide complete dates, details, and amount of the loss, if applicable.
10. Have there been any material change(s) during the last year to your business operation?YES ☐ NO ☒
If Yes, please provide details. This includes, but is not limited to, mergers and/or acquisitions.

NOTICE

The Applicant represents to the best of its knowledge and belief that the statements set forth are true and include all material information, and that there has been no attempt at suppression or misstatement of any material facts known, or which should be known, which might affect the judgment of Underwriters in their rating and/or acceptance of this risk.

The Applicant agrees that if a contract of insurance is provided by Underwriters, this Application and any other previous Applications, along with any additional supplemental applications, any attachments and supplied information shall be the basis for the formation of such contract and shall be a material and integral part of the Policy, whether or not they are attached to the Policy and/or signed by the Applicant.

Any representations made in the application process for any Policy that may be issued by Underwriters, and the statements made within this Application, any additional supplemental applications, any attachments and supplied information shall be construed as representations of the Applicant.

The Applicant represents that the person signing and initializing this Application and any additional supplemental applications has been authorized to do so by the Applicant.

Signing of this Application and any additional supplemental applications does not bind the Insurer to an offer nor the Applicant to accept insurance.

The Applicant further agrees that if the information supplied on this Application and additional supplemental applications, any attachments and supplied information changes between the date of this Application and the inception date of the Policy, the Applicant will immediately notify Underwriters of such change prior to inception of the Policy. WK (Initials)

Applicant further understands and agrees that no person or entity other than Underwriters has the right to waive or change any part of the Policy. Furthermore, notice to any agent or knowledge possessed by any agent or other persons acting on behalf of the Applicant shall not effect a waiver or a change in any part of the Policy nor estop Underwriters from asserting any right under the terms of the Policy.

By signing this Application, and any additional supplemental applications, the Applicant confirms that they have been provided with and inspected a specimen of the Trade Name Restoration Insurance wording and any applicable endorsements. Underwriters expect that the Applicant will take time to review the Policy to ensure that they fully understand the coverages provided. The Applicant should feel free to consult with any source, including legal advisors, regarding coverage.

CANADIAN NOTICE

- All indications are stated in U.S. dollars.
- Premium indicated and bound will be the amount to be paid in U.S. Dollars which is due no later than 30 days from the effective date of the insurance.
- Any claims payments will be in U.S. dollars.
- By signing this application, the undersigned confirms that the present document, and any other document(s) or correspondence pertaining to the present insurance or application for insurance is accepted in the English language.

CRISIS MANAGEMENT/RISK MANAGEMENT: The proposed Policy is designed for risks that agree to use the crisis management/risk management services as approved and appointed by Underwriters as defined in the Policy Declarations. The Applicant agrees to immediately contact the designated 24-hour crisis management services as defined in the Declarations in the event of any actual or potential food borne illness event.

In addition to all other terms and conditions: **Applicable in Kentucky.** Any person who knowingly and with intent to defraud any insurance company or other person files an Application for insurance containing any materially false information or conceals for the purpose of misleading, information concerning any fact material thereto commits a fraudulent insurance act, which is a crime.

Wanda King
Applicant's authorized signature of a Principal, Partner or Officer
Wanda King, Sec/Treas
Printed Name of Applicant's authorized signature of a Principal, Partner or Officer

12/23/24
Date

**POLICYHOLDER DISCLOSURE
NOTICE OF TERRORISM
INSURANCE COVERAGE**

You are hereby notified that under the Terrorism Risk Insurance Act of 2002, as amended ("TRIA"), that you now have a right to purchase insurance coverage for losses arising out of acts of terrorism, **as defined in Section 102(1) of the Act, as amended:** The term "act of terrorism" means any act that is certified by the Secretary of the Treasury, in consultation with the Secretary of Homeland Security and the Attorney General of the United States, to be an act of terrorism; to be a violent act or an act that is dangerous to human life, property, or infrastructure; to have resulted in damage within the United States, or outside the United States in the case of an air carrier or vessel or the premises of a United States mission; and to have been committed by an individual or individuals, as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion. Any coverage you purchase for "acts of terrorism" shall expire at 12:00 midnight December 31, 2027, the date on which the TRIA Program is scheduled to terminate, or the expiry date of the policy whichever occurs first, and shall not cover any losses or events which arise after the earlier of these dates.

YOU SHOULD KNOW THAT COVERAGE PROVIDED BY THIS POLICY FOR LOSSES CAUSED BY CERTIFIED ACTS OF TERRORISM IS PARTIALLY REIMBURSED BY THE UNITED STATES UNDER A FORMULA ESTABLISHED BY FEDERAL LAW. HOWEVER, YOUR POLICY MAY CONTAIN OTHER EXCLUSIONS WHICH MIGHT AFFECT YOUR COVERAGE, SUCH AS AN EXCLUSION FOR NUCLEAR EVENTS. UNDER THIS FORMULA, THE UNITED STATES PAYS 80% OF COVERED TERRORISM LOSSES EXCEEDING THE STATUTORILY ESTABLISHED DEDUCTIBLE PAID BY THE INSURER(S) PROVIDING THE COVERAGE. YOU SHOULD ALSO KNOW THAT THE TERRORISM RISK INSURANCE ACT, AS AMENDED, CONTAINS A USD100 BILLION CAP THAT LIMITS U.S. GOVERNMENT REIMBURSEMENT AS WELL AS INSURERS' LIABILITY FOR LOSSES RESULTING FROM CERTIFIED ACTS OF TERRORISM WHEN THE AMOUNT OF SUCH LOSSES IN ANY ONE CALENDAR YEAR EXCEEDS USD100 BILLION. IF THE AGGREGATE INSURED LOSSES FOR ALL INSURERS EXCEED USD100 BILLION, YOUR COVERAGE MAY BE REDUCED.

THE PREMIUM CHARGED FOR THIS COVERAGE IS PROVIDED BELOW AND DOES NOT INCLUDE ANY CHARGES FOR THE PORTION OF LOSS COVERED BY THE FEDERAL GOVERNMENT UNDER THE ACT.

_____ I hereby elect to purchase coverage for acts of terrorism for a prospective premium of **USD \$ 1,000 + Tax**

XXX I hereby elect to have coverage for acts of terrorism excluded from my policy. I understand that I will have no coverage for losses arising from acts of terrorism.

DocuSigned by:

Wanda King

Policyholder/Applicant's Signature

wanda king

Print Name

1/10/2025 | 11:11 AM EST

Certain Underwriters at Lloyd's

Date

01/06/2025

Requested Effective Date of Coverage

LMA 9184

Professional Liability Insurance Services, Inc. dba Professional Liability Insurance Services, Inc. - Underwriting Facilities; Professional Liability Insurance Services - Underwriting Facilities; Texas Professional Liability Insurance Services, Inc. - Underwriting Facilities; Professional Liability Insurance Services, Incorporated - Underwriting Facilities; in the state of New York and California, CA License #0G17062 as Texas Professional Liability Insurance Services



TRADE NAME RESTORATION® INSURANCE APPLICATION

Loss of Business Income & Incident Response for Food Borne Illness

professional liability insurance services®, Inc.
underwriting facility - SINCE 1983

P: 800.761.7547 | F: 512.327.5034 | E: underwriting@plisinc.com | W: www.plisinc.com

1. **Applicant Company Name:** D. King Enterprises Inc
Restaurant Trade Name(s): Western Sizzlin
2. **Mailing Address:** 11961 S 226 Hwy
3. **City, State, Zip Code:** Spruce Pine, NC 28777
4. **Risk/Crisis Management Contact Person:** Darrin or Wanda King
Phone: 828-467-3560 or 828-467-3562 **E-mail:** wandaking@yahoo.com
5. **Type of Operation:** ☐ Fast Food ☒ Fast Casual ☐ Casual Dining ☐ Fine Dining ☒ Buffet ☐ Other _____
6. **Total Annual Gross Sales All Locations:** 3,900,000 **Number of years in business:** 23

7. **Average store** **Largest store**
- | | | | | | |
|-----------------------|-------------------------|--------------------------------------|-----------------------|-----------|----------|
| a. Annual Gross Sales | <u>\$3,900,000 proj</u> | | a. Annual Gross Sales | <u>\$</u> | |
| b. Net Income | <u>\$400,000 proj</u> | <u>%</u> | b. Net Income | <u>\$</u> | <u>%</u> |
| c. Fixed Expense | <u>\$600,000</u> | <u>% (Rent, Debt, Utility, etc.)</u> | c. Fixed Expense | <u>\$</u> | <u>%</u> |
| d. Payroll | <u>\$1,100,000</u> | <u>% (Necessary continuing)</u> | d. Payroll | <u>\$</u> | <u>%</u> |

8. **Total employee count (all locations):** Full Time 20 Part Time 37

9.

Top 5 Food Suppliers (non-distributors):	Product Supplied:
a.	a.
b.	b.
c.	c.
d.	d.
e.	e.

Distributor(s) Utilized: ☐ Sysma/Sysco ☒ US Food Service ☐ McLane ☐ Ben E Keith ☒ Other PFG

10. Please complete the following for all stores (or, submit in an accompanying Excel Format spreadsheet):

State	Number of Owned Stores	Number of Franchised Stores
North Carolina	1	1

Do you have any locations outside of the United States? YES ☐ NO ☒ If yes, please complete the following:

# of Locations	Country	Trade Name

11. a. Average number of meals served per week/per location: 6000
b. Average dollar (\$\$) value of guest check: \$12.50
12. Metropolitan area (city) with the largest Number of Locations: none
13. a. Planned number of new locations in next 12 months (include expected open date and city/state of new location):
none
b. Planned number of locations to be closed in next 12 months (include expected close date and city/state of location):
none

14. Does the Applicant operate/lease/rent anyYES ☐ NO ☒
- a. Host Kitchen.....YES ☐ NO ☒
- b. Delivery Only Kitchen space?YES ☐ NO ☒
15. Do you have a written procedure for the following?
- a. Food Handling.....YES ☒ NO ☐
- b. Cooking MethodsYES ☒ NO ☐
- c. Sanitation.....YES ☒ NO ☐
- Does the Franchise Agreement (if any) require compliance with the above written procedures?.....YES ☐ NO ☐ N/A ☒
- If no, which procedures are not required and why? _____
16. Are all newly hired employees trained in kitchen sanitation practices including, the following?:
- a. Equipment sanitationYES ☒ NO ☐
- b. Cross contaminationYES ☒ NO ☐
- c. Cutting boards.....YES ☒ NO ☐
- d. Food temperaturesYES ☒ NO ☐
- e. Storage.....YES ☒ NO ☐
- f. Personal hygiene.....YES ☒ NO ☐
17. Are there refresher courses or ongoing training for existing employees?YES ☒ NO ☐
- Explain Everyday employees are observed
18. Do you check to ensure that employees continue to use good food handling procedures and hygiene?YES ☐ NO ☒
- How? _____
19. a. Do you have any catering operations?YES ☐ NO ☒
- b. Percentage of total revenues derived from catering: _____%
- c. Number of locations that provide catering services: _____
20. Do any location(s) provide "pick up"/"take out" orders?YES ☒ NO ☐
- Which locations? Spruce Pine
- Are containers labeled with Food Handling instructions (e.g. storing, reheating, etc.)?.....YES ☐ NO ☒
- If yes, please provide a sample of the Food Handling instructions _____
21. Do you currently have a HACCP plan and/or ServSafe procedures in place?.....YES ☒ NO ☐
22. Do you (or a third party) test food received from suppliers for contamination?.....YES ☐ NO ☒
- If yes, please describe. _____
- a. If tests are performed by a third party, who is it? _____
- b. Who verifies that suppliers are meeting their standards, for testing, storing, or transportation of products? _____
23. Is there a written crisis management plan in effect to counteract media coverage for a food borne illness?.....YES ☐ NO ☒
- Who is the designated media spokesperson & what is his/her everyday job title? _____
24. During the last five years, has any location experienced or been involved in the following?:
- a. An accidental or malicious contamination incident resulting in a business interruptionYES ☐ NO ☒
- b. An extortion attemptYES ☐ NO ☒
- c. Cited or closed down by any public health authority or civil authorityYES ☐ NO ☒
- d. A food borne illness incident resulting in a business interruptionYES ☐ NO ☒
- e. A workplace violent event.....YES ☐ NO ☒
- f. A supplier recall eventYES ☐ NO ☒
- If Yes to any of the above, provide complete the Claims Supplement with dates, details, and amount of the loss, if applicable.
25. Provide information about similar or comparable Insurance carried during the past year. If no current coverage is in force, check the box: ☐
- Carrier: _____ Coverage: \$ _____ / \$ _____ Ded/SIR: \$ _____
- Premium: \$ _____ Policy Period: _____ to _____ Number of Insured Locations: _____

ATTACHMENTS REQUIRED WITH THE APPLICATION: (Additional information may be required for final underwriting approval based on Underwriting requirements)

_____ List of Locations, Separated by Corporate Owned and Franchised Owned (if applicable), By Trade Name in an **Excel Format** spreadsheet.

NOTICE

The Applicant represents to the best of its knowledge and belief that the statements set forth are true and include all material information, and that there has been no attempt at suppression or misstatement of any material facts known, or which should be known, which might affect the judgment of Underwriters in their rating and/or acceptance of this risk.

The Applicant agrees that if a contract of insurance is provided by Underwriters, this Application and any other previous Applications, along with any additional supplemental applications, any attachments and supplied information shall be the basis for the formation of such contract and shall be a material and integral part of the Policy, whether or not they are attached to the Policy and/or signed by the Applicant.

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The Applicant represents that the person signing and initializing this Application and any additional supplemental applications has been authorized to do so by the Applicant.

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The Applicant further agrees that if the information supplied on this Application, any additional supplemental applications, any attachments and supplied information changes between the date of this Application and the inception date of the Policy, the Applicant will immediately notify Underwriters of such change prior to inception of the Policy. WJK (Initials)

Applicant further understands and agrees that no person or entity other than Underwriters has the right to waive or change any part of the Policy. Furthermore, notice to any agent or knowledge possessed by any agent or other persons acting on behalf of the Applicant shall not effect a waiver or a change in any part of the Policy nor estop Underwriters from asserting any right under the terms of the Policy.

By signing this Application and any additional supplemental applications, the Applicant confirms that they have been provided with and inspected a specimen of the Trade Name Restoration Insurance wording and any applicable endorsements. Underwriters expect that the Applicant will take time to review the Policy to ensure that they fully understand the coverages provided. The Applicant should feel free to consult with any source, including legal advisors, regarding coverage.

CRISIS MANAGEMENT/RISK MANAGEMENT: The proposed policy is designed for risks that agree to use the crisis management/risk management services as approved and appointed by Underwriters as defined in the Policy Declarations. The Applicant Company agrees to immediately contact the designated 24-hour crisis management services as defined in the Declarations in the event of any actual or potential food borne illness event.

CANADIAN NOTICE

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- Premium indicated and bound will be the amount to be paid in US Dollars no later than 30 days from the effective date insurance.
- Any claims payments will be in U.S. dollars
- By signing this application, the undersigned confirms that the present document, and any other document(s) or correspondence pertaining to the present insurance or application for insurance is accepted in the English language.

In addition to all other terms and conditions: Applicable in Kentucky. Any person who knowingly and with intent to defraud any insurance company or other person files an Application for insurance containing any materially false information or conceals for the purpose of misleading, information concerning any fact material thereto commits a fraudulent insurance act, which is a crime.

Wanda King
Applicant's authorized signature of a Principal, Partner or Officer

Wanda King
Printed Name of Applicant's authorized Principal, Partner or Officer

11/2/2023
Date

**POLICYHOLDER DISCLOSURE
NOTICE OF TERRORISM
INSURANCE COVERAGE**

You are hereby notified that under the Terrorism Risk Insurance Act of 2002, as amended ("TRIA"), that you now have a right to purchase insurance coverage for losses arising out of acts of terrorism, **as defined in Section 102(1) of the Act, as amended:** The term "act of terrorism" means any act that is certified by the Secretary of the Treasury, in consultation with the Secretary of Homeland Security and the Attorney General of the United States, to be an act of terrorism; to be a violent act or an act that is dangerous to human life, property, or infrastructure; to have resulted in damage within the United States, or outside the United States in the case of an air carrier or vessel or the premises of a United States mission; and to have been committed by an individual or individuals, as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion. Any coverage you purchase for "acts of terrorism" shall expire at 12:00 midnight December 31, 2027, the date on which the TRIA Program is scheduled to terminate, or the expiry date of the policy whichever occurs first, and shall not cover any losses or events which arise after the earlier of these dates.

YOU SHOULD KNOW THAT COVERAGE PROVIDED BY THIS POLICY FOR LOSSES CAUSED BY CERTIFIED ACTS OF TERRORISM IS PARTIALLY REIMBURSED BY THE UNITED STATES UNDER A FORMULA ESTABLISHED BY FEDERAL LAW. HOWEVER, YOUR POLICY MAY CONTAIN OTHER EXCLUSIONS WHICH MIGHT AFFECT YOUR COVERAGE, SUCH AS AN EXCLUSION FOR NUCLEAR EVENTS. UNDER THIS FORMULA, THE UNITED STATES PAYS 80% OF COVERED TERRORISM LOSSES EXCEEDING THE STATUTORILY ESTABLISHED DEDUCTIBLE PAID BY THE INSURER(S) PROVIDING THE COVERAGE. YOU SHOULD ALSO KNOW THAT THE TERRORISM RISK INSURANCE ACT, AS AMENDED, CONTAINS A USD100 BILLION CAP THAT LIMITS U.S. GOVERNMENT REIMBURSEMENT AS WELL AS INSURERS' LIABILITY FOR LOSSES RESULTING FROM CERTIFIED ACTS OF TERRORISM WHEN THE AMOUNT OF SUCH LOSSES IN ANY ONE CALENDAR YEAR EXCEEDS USD100 BILLION. IF THE AGGREGATE INSURED LOSSES FOR ALL INSURERS EXCEED USD100 BILLION, YOUR COVERAGE MAY BE REDUCED.

THE PREMIUM CHARGED FOR THIS COVERAGE IS PROVIDED BELOW AND DOES NOT INCLUDE ANY CHARGES FOR THE PORTION OF LOSS COVERED BY THE FEDERAL GOVERNMENT UNDER THE ACT.

_____ I hereby elect to purchase coverage for acts of terrorism for a prospective premium of USD \$_____

☒ I hereby elect to have coverage for acts of terrorism excluded from my policy. I understand that I will have no coverage for losses arising from acts of terrorism.

DocuSigned by:

Wanda King

614D8D8B57C047B...
Underwriting Ltd.

Policyholder/Applicant's Signature

Wanda King

11/8/2023 | 11:26 AM EST

Certain Underwriters at Lloyd's, Fidelis

Date

11/07/2023

Print Name

Requested Effective Date of Coverage

LMA 9184

Professional Liability Insurance Services, Inc. dba Professional Liability Insurance Services, Inc. - Underwriting Facilities; Professional Liability Insurance Services - Underwriting Facilities; Texas Professional Liability Insurance Services, Inc. - Underwriting Facilities; Professional Liability Insurance Services, Incorporated - Underwriting Facilities; in the state of New York and California, CA License #0G17062 as Texas Professional Liability Insurance Services

Certificate Of Completion

Envelope Id: 173FFC09815349B087222AB2849BEE10

Status: Completed

Subject: Complete with DocuSign: Trade Name Restoration TRIA Exclusion

Source Envelope:

Document Pages: 1

Signatures: 1

Envelope Originator:

Certificate Pages: 4

Initials: 0

Destiny Kuykendall

AutoNav: Enabled

1855 W State Road #434

Enveloped Stamping: Disabled

Longwood, FL 32750

Time Zone: (UTC-05:00) Eastern Time (US & Canada)

Destiny.Kuykendall@ioausa.com

IP Address: 52.186.138.30

Record Tracking

Status: Original

Holder: Destiny Kuykendall

Location: DocuSign

11/7/2023 3:36:01 PM

Destiny.Kuykendall@ioausa.com

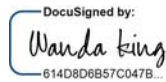
Signer Events

Wanda King

wandaking1222@yahoo.com

Security Level: Email, Account Authentication
(None)**Signature**

DocuSigned by:



614D8D6B57C047B...

Signature Adoption: Pre-selected Style

Using IP Address: 192.34.130.70

Timestamp

Sent: 11/7/2023 3:37:57 PM

Viewed: 11/8/2023 11:25:48 AM

Signed: 11/8/2023 11:26:44 AM

Electronic Record and Signature Disclosure:

Accepted: 11/8/2023 11:25:48 AM

ID: 6d880c27-6bbb-4a45-b6c2-ab9a273e3409

In Person Signer Events**Signature****Timestamp****Editor Delivery Events****Status****Timestamp****Agent Delivery Events****Status****Timestamp****Intermediary Delivery Events****Status****Timestamp****Certified Delivery Events****Status****Timestamp****Carbon Copy Events****Status****Timestamp****Witness Events****Signature****Timestamp****Notary Events****Signature****Timestamp****Envelope Summary Events****Status****Timestamps**

Envelope Sent

Hashed/Encrypted

11/7/2023 3:37:57 PM

Certified Delivered

Security Checked

11/8/2023 11:25:48 AM

Signing Complete

Security Checked

11/8/2023 11:26:44 AM

Completed

Security Checked

11/8/2023 11:26:44 AM

Payment Events**Status****Timestamps****Electronic Record and Signature Disclosure**

COVERED LOCATIONS ENDORSEMENT

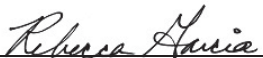
Policy Certificate No.: TNR 24 10944

This Endorsement changes the Policy – please read it carefully.

In consideration of the premium paid, listed below are the **Covered Locations** under this Policy:

1. 11961 S 226 Hwy., Spruce Pine, NC 28777

All other terms, conditions, limitations and exclusions of this Policy remain unchanged.

Countersigned: 
Authorized Representative

WORKPLACE VIOLENCE ENDORSEMENT

Policy Certificate No.: TNR 24 10944

This Endorsement changes the Policy – please read it carefully.

In consideration of the premium paid, it is hereby understood and agreed that for the purposes of this Endorsement and with respect to **Workplace Violence Events** only, the Policy is amended as follows:

Section 2. LIMITS OF INDEMNITY is amended by deleting and replacing the following in its place:

- 2.3** "Aggregate Limit of Indemnity for Incident Response Expenses" - Underwriters' maximum obligation for all **Incident Response Expenses** affecting all **Covered Locations** insured hereunder for all **Restaurant Events, Supplier Events, and Workplace Violence Events** shall not exceed the corresponding "Limit of Indemnity for **Incident Response Expenses**" set forth in Section B of the Declarations, regardless of the number of **Insureds** named in the Declarations. **Incident Response Expenses** shall be in excess of any **Deductible**, except **Crisis Management Expenses** paid as part of **Incident Response Expenses** shall not be subject to the **Deductible**. Any **Incident Response Expenses** paid under this Section 2.3 shall reduce the remaining applicable Limits of Indemnity payable with respect to **Actual Net Loss**.

Section 2. LIMITS OF INDEMNITY is also amended by adding the following:

- 2.10 (WPV)** "Aggregate Limit of Indemnity for Workplace Violence Events" - Underwriters' maximum obligation for **Actual Net Loss** and **Incident Response Expenses** affecting **Covered Locations** insured hereunder for **Workplace Violence Events** shall not exceed the "Limit of Indemnity for **Workplace Violence Events**" set forth in Section B of the Declarations and shall be in excess of any "**Deductible for Workplace Violence Events**."

Section 4. DEFINITIONS is amended by deleting and replacing the following in its place:

- 4.3 (WPV)** "Affected Covered Location" means a **Covered Location** whose **Normal Gross Revenues** are reduced due directly and solely to the occurrence of an **Incident**. However, for **Workplace Violence Events**, **Affected Covered Location** shall mean only the specific **Covered Location** where the **Workplace Violence Event** occurred and whose **Normal Gross Revenues** are reduced due directly and solely to the occurrence of a **Workplace Violence Event**.

- 4.13 (WPV)** "Incident" means any of the following:

- (a) **Restaurant Event**
- (b) **Public Announcement** of an actual, suspected or alleged **Restaurant Event**;
- (c) **Supplier Event**
- (d) **Public Announcement** of an actual, suspected or alleged **Supplier Event**; or
- (e) **Extortion Threat**.
- (f) **Workplace Violence Event**

All **Restaurant Events, Supplier Events, Public Announcements, or Extortion Threats** arising out of the same common cause shall be considered one **Incident**, regardless of the number of involved persons, **Public Announcements**, or **Covered Locations**. The **Incident** shall be deemed to have occurred at the time of the earliest occurrence of the **Restaurant Event, Supplier Event, Public Announcement, or Extortion Threat**. In the event either a **Restaurant Event, a Public Announcement, and/or Extortion Threat**, are considered one **Incident** with a **Supplier Event** under this provision, the combined **Incident** shall be considered solely as a **Supplier Event**.

- 4.25 (WPV)** "Period of Restoration" means either:
- (1.) for **Workplace Violence Events**, a period of three (3) months from the date of the **Workplace Violence Event**, or
 - (2.) for **Restaurant Events, Supplier Events, or Extortion Threats**, the period that commences on the date of the **Incident** and ends on the earliest of the following dates:
 - (a) The first date that the **Gross Revenues** derived from the **Insured's** normal and customary business operations at each **Affected Covered Location** return to the **Normal Gross Revenues** for such **Affected Covered Location** and thereafter remain at or above the **Normal Gross Revenues** for such **Affected Covered Location** for the next six (6) consecutive days; or
 - (b) The date following two consecutive weeks in which the average daily **Gross Revenues** derived from the **Insured's** normal and customary business operations at the **Affected Covered Location** are equal to or greater than the **Normal Gross Revenues** for that **Affected Covered Location**; or
 - (c) The end date of the period of time set forth in Section C of the Declarations "**Period of Restoration.**"

The **Period of Restoration** shall not be affected by the expiration of the **Period of Insurance**.

Section 4, DEFINITIONS is also amended to add the following:

- 4.14 (1)** "Incident Response Expenses"
- (h) the cost of grief counseling services for employees of **Insured**;
 - (i) the cost of cleanup and cleanup services at the **Affected Covered Location(s)**;
 - (j) the cost of funeral and burial expenses; and
 - (k) increased cost of security, provided that the designated **Crisis Management** consultant as stated in the **Declarations** has specifically recommended such additional security measures.

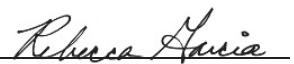
- 4.35 (WPV)** "**Workplace Violence Event**" means any intentional and unlawful act of deadly force or threat thereof at a **Covered Location** that has or could have resulted in bodily injury or death and is directed specifically against the employees, customers, vendors or facility of the **Covered Location**.

Section 6, EXCLUSIONS is also amended to add the following:

This insurance also does not cover any of the following types of loss:

- 6.24 (WPV)** Any **Actual Net Loss** that is directly or indirectly caused by, arises out of, contributed to by, in consequence of, or results from a **Workplace Violence Event** and is sustained by the **Insured** at any **Covered Location** other than the specific **Covered Location** where the **Workplace Violence Event** occurred.

All other terms, conditions, limitations and exclusions of this Policy remain unchanged.

Countersigned: 
Authorized Representative

SERVICE OF SUIT CLAUSE (U.S.A.)

Policy Certificate No.: TNR 24 10944

This Service of Suit Clause will not be read to conflict with or override the obligations of the parties to arbitrate their disputes as provided for in any Arbitration provision within this Policy. This Clause is intended as an aid to compelling arbitration or enforcing such arbitration or arbitral award, not as an alternative to such Arbitration provision for resolving disputes arising out of this contract of insurance (or reinsurance).

It is agreed that in the event of the failure of the Underwriters hereon to pay any amount claimed to be due hereunder, the Underwriters hereon, at the request of the Insured (or Reinsured), will submit to the jurisdiction of a Court of competent jurisdiction within the United States. Nothing in this Clause constitutes or should be understood to constitute a waiver of Underwriters' rights to commence an action in any Court of competent jurisdiction in the United States, to remove an action to a United States District Court, or to seek a transfer of a case to another Court as permitted by the laws of the United States or of any State in the United States.

It is further agreed that service of process in such suit may be made upon Lloyd's America, Inc., Attention: Legal Department, 280 Park Avenue, East Tower, 25th Floor, New York, NY 10017 and that in any suit instituted against any one of them upon this contract, Underwriters will abide by the final decision of such Court or of any Appellate Court in the event of an appeal.

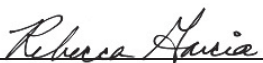
The above-named are authorized and directed to accept service of process on behalf of Underwriters in any such suit and/or upon the request of the Insured (or Reinsured) to give a written undertaking to the Insured (or Reinsured) that they will enter a general appearance upon Underwriters' behalf in the event such a suit shall be instituted.

Further, pursuant to any statute of any state, territory or district of the United States which makes provision therefor, Underwriters hereon hereby designate the Superintendent, Commissioner or Director of Insurance or other officer specified for that purpose in the statute, or his successor or successors in office, as their true and lawful attorney upon whom may be served any lawful process in any action, suit or proceeding instituted by or on behalf of the Insured (or Reinsured) or any beneficiary hereunder arising out of this contract of insurance (or reinsurance), and hereby designate the above-named as the person to whom the said officer is authorized to mail such process or a true copy thereof.

14/09/2005

LMA5020

Form approved by Lloyd's Market Association

Countersigned: 
Authorized Representative

APPLICABLE LAW (U.S.A.)

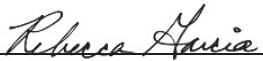
Policy Certificate No.: TNR 24 10944

This Insurance shall be subject to the applicable state law to be determined by the court of competent jurisdiction as determined by the provisions of the Service of Suit Clause (U.S.A.)

14/09/2005

LMA 5021

Form approved by Lloyd's Market Association

Countersigned: 
Authorized Representative

NUCLEAR INCIDENT EXCLUSION CLAUSE - LIABILITY - DIRECT (BROAD)

Policy Certificate No.: TNR 24 10944

For attachment to insurances of the following classification in the USA., its Territories and Possessions, Puerto Rico and the Canal Zone:

Owners, Landlords and Tenants Liability, Contractual Liability, Elevator Liability, Owners or Contractors (including Railroad) Protective Liability, Manufacturers and Contractors Liability, Product Liability, Professional and Malpractice Liability, Storekeepers Liability, Garage Liability, Automobile Liability (including Massachusetts Motor Vehicle or Garage Liability) not being insurances of the classifications to which the Nuclear Incident Exclusion Clause-Liability-Direct (Limited) applies.

This policy* does not apply:

- I. Under any Liability Coverage, to injury, sickness, disease, death or destruction:
 - a) with respect to which an insured under the policy is also an insured under a nuclear energy liability policy issued by Nuclear Energy Liability Insurance Association, Mutual Atomic Energy Liability Underwriters or Nuclear Insurance Association of Canada, or would be an insured under any such policy but for its termination upon exhaustion of its limit of liability; or
 - b) resulting from the hazardous properties of nuclear material and with respect to which (1) any person or organization is required to maintain financial protection pursuant to the Atomic Energy Act of 1954, or any law amendatory thereof, or (2) the insured is, or had this policy not been issued would be entitled to indemnity from the United States of America, or any agency thereof, under any agreement entered into by the United States of America, or any agency thereof, with any person or organization.
- II. Under any Medical Payments Coverage, or under any Supplementary Payments Provision relating to immediate medical or surgical relief, to expenses incurred with respect to bodily injury, sickness, disease or death resulting from the hazardous properties of nuclear material and arising out of the operation of a nuclear facility by any person or organization.
- III. Under any Liability Coverage, to injury, sickness, disease, death or destruction resulting from the hazardous properties of nuclear material, if:
 - a) the nuclear material (1) is at any nuclear facility owned by, or operated by or on behalf of, an insured or (2) has been discharged or dispersed therefrom;
 - b) the nuclear material is contained in spent fuel or waste at any time possessed, handled, used, processed, stored, transported or disposed of by or on behalf of an insured; or
 - c) the injury, sickness, disease, death or destruction arises out of the furnishing by an insured of services, materials, parts or equipment in connection with the planning, construction, maintenance, operation or use of any nuclear facility, but if such facility is located within the United States of America, its territories or possessions or Canada, this exclusion (c) applies only to injury to or destruction of property at such nuclear facility.

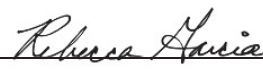
IV. As used in this endorsement:

"hazardous properties" include radioactive, toxic or explosive properties; "nuclear material" means source material, special nuclear material or byproduct material; "source material", "special nuclear material" and "byproduct material" have the meanings given them in the Atomic Energy Act 1954 or in any law amendatory thereof; "spent fuel" means any fuel element or fuel component, solid or liquid, which has been used or exposed to radiation in a nuclear reactor; "waste" means any waste material (1) containing byproduct material and (2) resulting from the operation by any person or organization if any nuclear material and (2) resulting from the operation by any person or organization if any nuclear facility included within the definition of nuclear facility under paragraph (a) or (b) thereof; "nuclear facility" means:

- a) any nuclear reactor;
- b) any equipment or device designed or used for (1) separating the isotopes of uranium or plutonium, (2) processing or utilizing spent fuel, or (3) handling, processing or packaging waste;
- c) any equipment or device used for the processing, fabricating or alloying of special nuclear material if at any time the total amount of such material in the custody of the insured at the premises where such equipment or device is located consists of or contains more than 25 grams of plutonium or uranium 233 or any combination thereof, or more than 250 grams of uranium 235;
- d) any structure, basin, excavation, premises or place prepared or used for the storage or disposal of waste, and includes the site on which any of the foregoing is located, all operations conducted on such site and all premises used for such operations; "nuclear reactor" means any apparatus designed or used to sustain nuclear fission in a self-supporting chain reaction or to contain a critical mass of fissionable material. With respect to injury to or destruction of property, the word "injury" or "destruction" includes all forms of radioactive contamination of property. It is understood and agreed that, except as specifically provided in the foregoing to the contrary, this clause is subject to the terms, exclusions, conditions and limitations of the Policy to which it is attached.

*NOTE: As respects policies which afford liability coverage and other forms of coverage in addition, the words underlined should be amended to designate the liability coverage to which this clause is to apply.

N.M.A. 1256
17/03/1960

Countersigned: 
Authorized Representative

NEW SHORT RATE CANCELLATION TABLE ENDORSEMENT (U.S.A.)

Policy Certificate No.: TNR 24 10944

Notwithstanding anything to the contrary contained herein and in consideration of the premium for which this Insurance is written it is agreed that in the event of cancellation thereof by the Insured the Earned Premium shall be computed as follows:

SHORT RATE CANCELLATION TABLE

A. For insurances written for one year:

Days Insurance in Force	Percent of One Year Premium	Days Insurance in Force	Percent of Year Premium
1	5	154-156	53
2	6	157-160	54
3-4	7	161-164	55
5-6	8	165-167	56
7-8	9	168-171	57
9-10	10	172-175	58
11-12	11	176-178	59
13-14	12	179-182 (6 Months)	60
15-16	13	183-187	61
17-18	14	188-191	62
19-20	15	192-196	63
21-22	16	197-200	64
23-25	17	201-205	65
26-29	18	206-209	66
30-32 (1 Month)	19	210-214 (7 Months)	67
33-36	20	215-218	68
37-40	21	219-223	69
41-43	22	224-228	70
44-47	23	229-232	71
48-51	24	233-237	72
52-54	25	238-241	73
55-58	26	242-246 (8 Months)	74
59-62 (2 Months)	27	247-250	75
63-65	28	251-255	76
66-69	29	256-260	77
70-73	30	261-264	78
74-76	31	265-269	79
77-80	32	270-273 (9 Months)	80
81-83	33	247-278	81
84-87	34	279-282	82
88-91 (3 Months)	35	283-287	83
92-94	36	288-291	84
95-98	37	292-296	85
99-102	38	297-301	86
103-105	39	302-305 (10 Months)	87
106-109	40	306-310	88
110-113	41	311-314	89

114-116	42
117-120	43
121-124 (4 Months)	44
125-127	45
128-131	46
132-135	47
136-138	48
139-142	49
143-146	50
147-149	51
150-153 (5 Months)	52

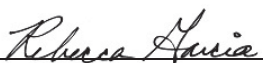
315-319	90
320-323	91
324-328	92
329-332	93
333-337 (11 Months)	94
338-342	95
343-346	96
347-351	97
352-355	98
356-360	99
361-365 (12 Months)	100

B. For insurances written for more or less than one year:

1. If Insurance has been in force for 12 months or less, apply the standard short rate table for annual insurances to the full annual premium determined as for an insurance written for a term of one year.
2. If insurance has been in force for more than 12 months:
 - (a) Determine full annual premium as for an insurance written for a term of one year.
 - (b) Deduct such premium for the full insurance premium, and on the remainder calculate the pro rata Earned Premium on the basis of the ratio of the length of time beyond one year the insurance has been in force to the length of time beyond one year for which the insurance was originally written.
 - (c) Add premium produced in accordance with items (a) and (b) to obtain Earned Premium during full period insurance has been in force.

All other terms, conditions, limitations and exclusions of this Policy remain unchanged.

NMA45

Countersigned: 
Authorized Representative

U.S. TERRORISM RISK INSURANCE ACT OF 2002 AS AMENDED
NOT PURCHASED CLAUSE

Policy Certificate No.: TNR 24 10944

This Clause is issued in accordance with the terms and conditions of the "U.S. Terrorism Risk Insurance Act of 2002" as amended as summarized in the disclosure notice.

It is hereby noted that the Underwriters have made available coverage for "insured losses" directly resulting from an "act of terrorism" as defined in the "U.S. Terrorism Risk Insurance Act of 2002", as amended ("TRIA") and the Insured has declined or not confirmed to purchase this coverage.

Notwithstanding any provision to the contrary within this insurance or any endorsement thereto it is agreed that this insurance therefore affords no coverage for losses, damage, cost or expense of whatsoever nature, directly or indirectly resulting from or in connection with any "act of terrorism" as defined in TRIA regardless of any other cause or event contributing concurrently or in any other sequence to the loss;

For the purpose of this endorsement an act of terrorism means an act, including but not limited to:-

the use of force or violence and/or the threat thereof, the actual, threatened, feared or perceived use of any biological, chemical, radioactive or nuclear agent, material, device or weapon, of any person or group(s) of persons, whether acting alone or on behalf of or in connection with any organization(s) or government(s), committed for political, religious, ideological or similar purposes including the intention to influence any government and/or to put the public, or any section of the public, in fear.

This endorsement also excludes loss, damage, cost or expense of whatsoever nature directly or indirectly caused by, resulting from or in connection with any action taken in controlling, preventing, suppressing or in any way relating to the above.

If the Underwriters allege that by reason of this exclusion, any loss, damage, cost or expense is not covered by this insurance the burden of proving the contrary shall be upon the **Insured**.

This exclusion shall not apply when the **Insured's Products** or a **Covered Location** are the sole, direct target of the individual or group described.

In the event any portion of this endorsement is found to be invalid or unenforceable, the remainder shall remain in full force and effect.

All other terms, conditions, insured coverage and exclusions of this Insurance including applicable limits and deductibles remain unchanged and apply in full force and effect to the coverage provided by this Insurance.

LMA5390 (as amended)

09 January 2020

Countersigned: 
Authorized Representative

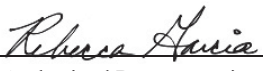
SANCTIONS LIMITATION CLAUSE

Policy Certificate No.: TNR 24 10944

No (re)insurer shall be deemed to provide cover and no (re)insurer shall be liable to pay any claim or provide any benefit hereunder to the extent that the provision of such cover, payment of such claim or provision of such benefit would expose that (re)insurer to any sanction, prohibition or restriction under United Nations' resolutions or the trade or economic sanctions, laws or regulations of the European Union, United Kingdom or United States of America.

LMA3100A

5 October 2023

Countersigned: 
Authorized Representative

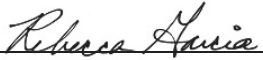
SEVERAL LIABILITY NOTICE

Policy Certificate No.: TNR 24 10944

The subscribing insurers' obligations under contracts of insurance to which they subscribe are several and not joint and are limited solely to the extent of their individual subscriptions. The subscribing insurers are not responsible for the subscription of any co-subscribing insurer who for any reason does not satisfy all or part of its obligations

All other terms, conditions, limitations and exclusions of this Policy remain unchanged.

LSW 1001 (Insurance)

Countersigned: 
Authorized Representative

PANDEMIC EXCLUSION

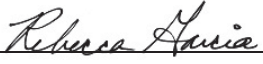
Policy Certificate No.: TNR 24 10944

This (re)insurance excludes loss, damage, cost or expense caused by, resulting from, arising out of or related to, either directly or indirectly, or any action taken to hinder, defend against or respond to any Pandemic or fear or threat of a Pandemic, including but not limited to:

- Coronavirus Disease (COVID-19);
- Severe acute respiratory syndrome coronavirus 2 (SARS-CoV-2);
- any mutation or variation of SARS-CoV-2;

This exclusion applies regardless of any other cause or event that in any way contributes concurrently or in any sequence to the loss, damage, cost or expense, and regardless whether or not there is any declaration of an outbreak of a Pandemic by the WHO or any authorised national or international body or legal jurisdiction.

For the purpose of this exclusion, a Pandemic shall be defined as a widespread outbreak of a human infectious disease, i.e. a human-to-human spread of a virus (e.g. influenza, SARS-CoV- 2) into at least three countries and two different continents.

Countersigned: 
Authorized Representative

Coronavirus Exclusion

Policy Certificate No.: TNR 24 10944

This Endorsement changes the Policy – please read it carefully.

This Insurance does not cover any **Actual Net Loss, Incident Response Expenses, or Extortion Payments** directly or indirectly caused by, arising out of, contributed to by, in consequence of, or resulting from, regardless of any other cause or event that contributes concurrently or in any sequence to the **Actual Net Loss, Incident Response Expenses, or Extortion Payments**:

- a. any occurrence, suspected occurrence, mitigation or prevention of the presence or spread of any Coronavirus;
- b. any reduction in customers/clients/guests that is, or suspected to be, attributable to the outbreak of any Coronavirus or the threat of any Coronavirus (whether actual or perceived);
- c. any actual or alleged consequential economic losses directly or indirectly arising out of the outbreak of any Coronavirus or the threat of any Coronavirus (whether actual or perceived);
- d. fear of any Coronavirus; or
- e. any Incident attributed to or suspected to be attributed to, arising out of, or relating to any Coronavirus.

For the purpose of this exclusion, Coronavirus includes, but is not limited to:

- SARS-CoV/SARS;
- MERS-CoV/MERS;
- SARS-CoV-2/COVID-19;
- Any new Coronavirus not previously known or identified; and/or
- Any other mutation or variation of any Coronavirus.

All other terms, conditions, limitations and exclusions of this Policy remain unchanged.

Countersigned:


Authorized Representative

CYBER EXCLUSION
(For use in conjunction with Contingency Risks)

Policy Certificate No.: TNR 24 10944

1. This Contract of Insurance does not cover any loss directly or indirectly arising out of, contributed to by, or resulting from any:
 - 1.1. Cyber Act or Cyber Incident or the fear or threat (whether actual or perceived) of any Cyber Act or Cyber Incident; or
 - 1.2. action taken in controlling, preventing, suppressing, or remediating any Cyber Act or Cyber Incident or the fear or threat (whether actual or perceived) of any Cyber Act or Cyber Incident.

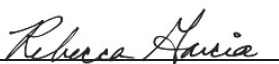
DEFINITIONS

2. Computer System means any computer, hardware, software, communications system, electronic device (including, but not limited to, smart phone, laptop, tablet, wearable device), server, cloud or microcontroller including any similar system or any configuration of the aforementioned and including any associated input, output, data storage device, networking equipment or back up facility.
3. Cyber Act means an unauthorised, malicious or criminal act or series of related unauthorised, malicious or criminal acts, regardless of time and place, involving access to, processing of, use of or operation of any Computer System.
4. Cyber Incident means:
 - 4.1. any error or omission or series of related errors or omissions involving access to, processing of, use of or operation of any Computer System; or
 - 4.2. any partial or total unavailability or failure or series of related partial or total unavailability or failures to access, process, use or operate any Computer System.

ALL OTHER TERMS AND CONDITIONS REMAIN UNCHANGED

LMA5460

14 October 2020

Countersigned: 
Authorized Representative

TRADE NAME RESTORATION LOSS OF BUSINESS INCOME AND INCIDENT RESPONSE INSURANCE FOR FOOD BORNE ILLNESS

It is agreed by the **Insured** and Underwriters that the attached Declarations, Application and any material submitted therewith, and Endorsements are made a part of this insurance, constitute the basis of this Policy, and that the **Insured** warrants that the statements contained in the Application are true and complete. PLIS, Inc. is not an insurer and does not provide this insurance; Underwriters provide this insurance.

1. INSURING AGREEMENT

Consistent with the foregoing and in consideration of the payment of the Premium, Underwriters agree, subject to all the terms, conditions, limitations and exclusions set forth in this Policy, to indemnify the **Insured** for the following, provided that such result directly and solely from an **Incident** that occurs within the **Period of Insurance** and is reported to Underwriters in accordance with Section 7.1 (a) of this Policy, which in no event shall be later than ninety (90) days following the termination of the **Period of Insurance**:

- 1.1 **Actual Net Loss** in excess of any **Deductible**, incurred by the **Insured** at each **Affected Covered Location** during the **Period of Restoration**;
- 1.2 **Incident Response Expenses** in excess of any **Deductible**, except as to **Crisis Management Expenses** (to which no **Deductible** shall apply), incurred by the **Insured** during the **Period of Restoration** but only if and when working in cooperation with the designated crisis management consultant listed in Section E of the Declarations;
- 1.3 **Extortion Payments** incurred by the **Insured** (to which no **Deductible** shall apply) during the **Period of Restoration** and when working in cooperation with the designated crisis management consultant listed in Section E of the Declarations; and
- 1.4 **Inoculations, Vaccinations and Testing Expenses** incurred by the **Insured** (to which no **Deductible** shall apply) during the **Period of Restoration**.

2. LIMITS OF INDEMNITY

- 2.1 “**Aggregate Limit of Indemnity for Restaurant Events**” - Underwriters’ maximum obligation for all **Actual Net Loss**, and **Incident Response Expenses**, affecting all **Covered Locations** insured hereunder for all **Restaurant Events** shall not exceed the “Limit of Indemnity for **Restaurant Events**” set forth in Section B of the Declarations and shall be in excess of any **Deductible**. An **Insured** may only recover **Actual Net Loss**, and **Incident Response Expenses** under this Section 2.1 for an **Incident** that does not include any **Actual Net Loss**, and **Incident Response Expenses** that result from, directly or indirectly, in whole or in part, any **Supplier Event**.
- 2.2 “**Aggregate Limit of Indemnity for Supplier Events**” - Underwriters’ maximum obligation for all **Actual Net Loss** and **Incident Response Expenses** affecting all **Covered Locations** insured hereunder for all **Supplier Events** shall not exceed the “Limit of Indemnity for **Supplier Events**” set forth in Section B of the Declarations and shall be in excess of any **Deductible**. If any indemnity is owed under this Section 2.2 for any **Incident**, no indemnity shall be owed under Section 2.1 above for that same **Incident**, regardless of the number of **Restaurant Events** or **Supplier Events** involved and irrespective of whether an **Insured** sustains any **Actual Net Loss**, or **Incident Response Expenses** that result from directly or indirectly, in whole or in part, any **Restaurant Event**.
- 2.3 “**Aggregate Limit of Indemnity for Incident Response Expenses**” - Underwriters’ maximum obligation for all **Incident Response Expenses** affecting all **Covered Locations** insured hereunder for all **Restaurant Events** and **Supplier Events** shall not exceed the corresponding “Limit of Indemnity for **Incident Response Expenses**” set forth in Section B of the Declarations, regardless of the number of **Insureds** named in the Declarations. **Incident Response Expenses** shall be in excess of any **Deductible**, except **Crisis Management Expenses** paid as part of **Incident Response Expenses** shall not be subject to the **Deductible**. Any **Incident Response Expenses** paid under this Section 2.3 shall reduce the remaining applicable Limits of Indemnity payable with respect to **Actual Net Loss**.

- 2.4 “**Aggregate Limit of Indemnity for Extortion Payments**” – Underwriters’ maximum obligation for **Extortion Payments** during the **Period of Insurance** shall not exceed the “Limit of Indemnity for **Extortion Payment**” set forth in Section B of the Declarations.
- 2.5 “**Total Policy Aggregate Limit of Indemnity**” - Underwriters’ maximum obligation for all **Actual Net Loss, Incident Response Expenses, and Extortion Payments** arising from all **Incidents** affecting all **Covered Locations** occurring during the **Period of Insurance** shall not exceed the “Total Policy Aggregate Limit of Indemnity” set forth in Section B of the Declarations, regardless of the number of **Covered Locations** insured hereunder or the number of **Insureds** named in the Declarations, and shall be in excess of any **Deductible** and not reduced by any **Deductible**.
- 2.6 “**Shared Aggregate Limit of Indemnity**” - Notwithstanding the provisions of Sections 2.1 through 2.5 above, if Underwriters have issued Policies to other **Trade Name Operators**, Underwriters’ maximum obligation for **Actual Net Loss, Incident Response Expenses, and Extortion Payments** affecting all business establishments sharing that same trade name (including the **Covered Locations** insured hereunder) shall be limited as set forth in greater detail in any Shared Aggregate Endorsement attached to the Policy.
- 2.7 “**Aggregate Limit of Indemnity for Inoculations, Vaccinations, and Testing Expenses**” – Underwriters’ maximum obligation for **Inoculations, Vaccinations, and Testing Expenses** shall be in addition to the **Total Policy Aggregate Limit of Indemnity** set forth in Section B of the Declarations, and Underwriters’ maximum obligation for all such **Inoculations, Vaccinations, and Testing Expenses** during the **Period of Insurance** shall not exceed the “Limit of Indemnity for **Inoculations, Vaccinations, and Testing**” set forth in Section B of the Declarations, as amended, regardless of the number of **Incidents**, or **Covered Locations**. No **Deductible** shall apply to this additional **Inoculations, Vaccinations, and Testing Expenses** coverage. Payments made by Underwriters under the **Inoculations, Vaccinations, and Testing Expenses** coverage will not be applied toward any **Deductible** that is applicable to any other coverage afforded by this Policy.
- 2.8 **Crisis Management Expenses** paid as **Incident Response Expenses**, shall not reduce the Total Policy Aggregate Limit of Indemnity. No **Deductible** shall apply to **Crisis Management Expenses**.

3. **LOSS ADJUSTMENT**

- 3.1 Underwriters shall be under no obligation to pay any **Actual Net Loss, Incident Response Expenses** or **Extortion Payments** until the **Insured** has submitted a complete **Loss Submission** and Underwriters have had a reasonable opportunity to investigate the cause(s) of any **Incident**, and necessary time to review and analyze the **Loss Submission** and receive and review any report(s) from any **Public Health Authority**.
- 3.2 The premium and any expenses incurred in the formulation or submission of a claim under this Policy shall not be recoverable **Actual Net Loss, Incident Response Expenses, or Extortion Payments** under this insurance.
- 3.3 In the event the **Insured** receives or enters into an agreement to receive any reimbursement of loss, salvage, settlements, recoveries, payments, credits, or other financial benefits related to the **Incident** from any person or entity other than Underwriters, the amount of **Actual Net Loss, Incident Response Expenses, or Extortion Payment** will be reduced by the amount of any such loss, salvage, settlements, recoveries, payments, credits, or other financial benefits, regardless of whether any such amounts have been paid to or received by the **Insured** at the time of payment by Underwriters. Nothing in this Section 3.3 shall serve to void Underwriters’ rights or the **Insured’s** obligations under the subrogation provision in Section 8.7.
- 3.4 **Actual Net Loss** for each **Affected Covered Location** shall be calculated in accordance with the following formula:

$$[(A - B) \times C] + D = \text{Actual Net Loss}$$

where	A	=	The Insured’s Normal Gross Revenue
	B	=	The Insured’s Affected Gross Revenue
	C	=	The Insured’s Normal Operating Margin
	D	=	The Insured’s Recoverable Necessary Costs of Sales

- 3.5 Underwriters will reduce the amount of the **Insured's Actual Net Loss** to the extent the **Insured's** normal and customary business operations can be resumed, in whole or in part, at the **Affected Covered Locations** or elsewhere, and the **Insured** either fails to resume or delays the resumption of such operations. If this happens, Underwriters will indemnify the **Insured** hereunder based on the length of time it would have taken to resume such operations had the **Insured** exercised reasonable due diligence.
- 3.6 **Incident Response Expenses** shall be calculated separately from **Actual Net Loss**.
- 3.7 Following an **Incident**, Underwriters may, at their sole discretion, agree to make interim payments of **Actual Net Loss** and **Incident Response Expenses** in excess of the **Deductible**. Such interim payments shall be without prejudice to any coverage position taken by Underwriters.

4. **DEFINITIONS**

Wherever used in the Policy or applicable Endorsement(s), the following terms shall have the meanings set forth below

- 4.1 "**Accidental Contamination**" means an error in the production or preparation of the **Insured's Products**, or of ingredients used in the production or preparation of the **Insured's Products**, which if consumed or used as intended, could lead to or has led to bodily injury, sickness, disease or death of any person(s) which has or would physically manifest itself by way of clear, obvious or visible symptoms within 365 days of use or consumption.
- 4.2 "**Actual Net Loss**" means the loss for each **Affected Covered Location** calculated in accordance with Section 3.4.
- 4.3 "**Affected Covered Location**" means a **Covered Location** whose **Normal Gross Revenues** are reduced due directly and solely to the occurrence of an **Incident**.
- 4.4 "**Affected Gross Revenues**" means the **Gross Revenues** actually earned by the **Insured** at an **Affected Covered Location** during the **Period of Restoration**.
- 4.5 "**Covered Location**" or "**Covered Locations**" means the place or places of business of the **Insured** described on the **Covered Location** Endorsement in the Policy, or in Section A of the Declarations. New places of business, operating under the same trade name(s) as listed in Section A of the Declarations, that are opened or acquired by the **Insured** during the **Period of Insurance** are automatically considered **Covered Locations**.

If a Ghost / Virtual Kitchen Location Endorsement is attached to this Policy, the locations listed on the Endorsement are considered **Covered Locations** under this Policy. "**Ghost / Virtual Kitchen Location(s)**" means pickup and/or delivery-only kitchens where food is prepared by employees of the **Insured**, and sold exclusively on-line through the **Insured's** website, or through independent retail food delivery services. Such locations shall not provide public dining areas or onsite dining service. If no Ghost / Virtual Kitchen Location Endorsement is attached to this Policy, then no coverage is afforded for such locations. New Ghost / Virtual Kitchen Locations, operating under the same trade name(s) as listed in Section A of the Declarations, that are opened or acquired by the **Insured** during the **Period of Insurance** are automatically considered **Covered Locations**.
- 4.6 "**Crisis Management Expenses**" means the services of the crisis management consultant listed in Section E of the Declarations further identified and described under the definition of "**Incident Response Expenses**."
- 4.7 "**Deductible**" means the amount that the **Insured** shall bear uninsured for each and every **Incident** as set forth in Section B of the Declarations or any applicable Endorsements.
- 4.8 "**Extortion Expenses**" means expenses paid by the **Insured** as a direct result of an **Extortion Threat**, including:
 - (a) The amount paid by the **Insured** as a reward to an **Informant** for information that mitigates an **Extortion Threat** or results in a recovery of all or any portion of **Extortion Payments**, other than **Extortion Expenses**,
 - (b) Interest paid or to be paid on any loan from a financial institution to the **Insured** for the purpose of paying an **Extortion Payment**;

- (c) Cost of travel and accommodation incurred by or on behalf of the **Insured** while attempting to negotiate an **Extortion Threat**;
 - (d) Medical services and hospitalization costs incurred by any person directly involved in the handling or negotiating of an **Extortion Payment** paid by the **Insured** as a direct result, and within 36 months following, the last credible **Extortion Threat** discovered during the **Period of Insurance**. Said costs include, but are not limited to, any costs for treatment by a neurologist or psychiatrist, costs for cosmetic surgery and the additional expenses related to treatment, as approved by Underwriters;
 - (e) Fees and expenses of an independent forensic consultant engaged by the **Insured** in responding to an **Extortion Threat** involving **Malicious Contamination**;
 - (f) Fees and expenses of a qualified interpreter to assist the **Insured** in responding to or evaluating an **Extortion Threat**;
 - (g) Increased cost of security, including hiring of security guards, armored vehicles, and overtime pay for existing security staff for a period of up to 120 days, provided that the designated crisis management consultants listed in Section E of the Declarations have specifically recommended such additional security measures; and
 - (h) Any additional expenses recommended by the designated crisis management consultants listed in Section E of the Declarations and approved by **Underwriters**.
- 4.9 “**Extortion Payment**” means **Extortion Expenses** and monies or the monetary value of other consideration (net of any previous or subsequent recoveries) paid by the **Insured** to a third party, following receipt of an **Extortion Threat**.
- 4.10 “**Extortion Threat**” means a threat made by a third party against the **Insured** that a **Malicious Contamination** will be committed unless the third party’s demand for money or other consideration is met.
- 4.11 “**Food Borne Illness**” means an actual or alleged illness that is caused by the ingestion of **Insured’s Products**.
- 4.12 “**Gross Revenues**” means the gross revenues derived from business operations carried on by the **Insured** at a **Covered Location**, as more fully itemized in the Application and as determined by U.S. Generally Accepted Accounting Principles.
- 4.13 “**Incident**” means any of the following:
- (a) **Restaurant Event**
 - (b) **Public Announcement** of an actual, suspected or alleged **Restaurant Event**
 - (c) **Supplier Event**
 - (d) **Public Announcement** of an actual, suspected or alleged **Supplier Event**; or
 - (e) **Extortion Threat**

All **Restaurant Events**, **Supplier Events**, **Public Announcements**, or **Extortion Threats** arising out of the same common cause shall be considered one **Incident**, regardless of the number of involved persons, **Public Announcements**, or **Covered Locations**. The **Incident** shall be deemed to have occurred at the time of the earliest occurrence of the **Restaurant Event**, **Supplier Event**, **Public Announcement**, or **Extortion Threat**. In the event either a **Restaurant Event**, a **Public Announcement**, and/or **Extortion Threat**, are considered one **Incident** with a **Supplier Event** under this provision, the combined **Incident** shall be considered solely as a **Supplier Event**.

4.14 “**Incident Response Expenses**” means:

- 1) **Pre-Incident Loss Control Assistance - Crisis Management Expenses** – During the “**Period of Insurance**,” access to the crisis management consultant listed in Section E of the Declarations, including unlimited telephone consultations with the **Insured** on topics including but not limited to:
 - (a) Food safety practices
 - (b) Sanitization procedures/guidelines
 - (c) Federal and state regulations
 - (d) Specific food borne illness characteristics
 - (e) Guidance for **Public Health Authority** inspections and reporting
 - (f) Employee symptom surveys
 - (g) Requests for expenses from Underwriters to implement procedures/practices to mitigate or minimize the likelihood of an **Incident**

Any such incurred **Crisis Management Expenses** for telephone consultations shall be paid directly by Underwriters on behalf of the **Insured**.

- 2) **Incident Assistance:** The following reasonable and necessary expenses incurred by the **Insured** after the occurrence of an **Incident**, that are incurred solely and exclusively for the purpose of preventing, mitigating or minimizing a loss covered by this Policy:

(a) Announcements and Public Relations Costs:

The cost of public relations specialists, radio or television announcements and newspaper advertising with the assistance of the crisis management consultant listed in Section E of the Declarations, with Underwriters' prior written approval;

(b) Rehabilitative Marketing Costs:

The cost of customized marketing campaigns developed with the assistance of the crisis management consultant listed in Section E of the Declarations, to restore the **Normal Gross Revenues** level(s) at the **Affected Covered Location(s)**;

(c) Temporary Replacement Workers Costs:

The cost of hiring temporary replacement staff at an **Affected Covered Location** other than existing employees of the **Insured** working at the **Affected Covered Location**. This cost does not include fees or expenses incurred for services of professionals such as attorneys, doctors, accountants, and similar professionals;

(d) Employee Incident Expenses:

The out-of-pocket expenses of employees incurred in responding to the **Incident**;

(e) Overtime Costs:

The compensation paid to non-exempt employees of the **Insured** as overtime pay;

(f) Emergency Travel Costs:

The reasonable cost of management and/or employee travel to the **Affected Covered Location** where the **Incident** occurred, to address emergency issues;

(g) Crisis Management Expenses – Incident Response:

24/7 access to the crisis management consultant listed in Section E of the Declarations, including unlimited **Incident**-related telephone consultations and video conferencing with the **Insured**, and with **Public Health Authorities** on behalf of the **Insured**, to address the **Incident**. Such costs shall be paid directly by Underwriters on behalf of the **Insured**.

(h) Crisis Management Expenses – Dedicated Customer Care Hotline:

As recommended by the crisis management consultant listed in Section E of the Declarations, the cost of an immediate customer care telephone hotline staffed by live consultants. This includes but is not limited to the cost of expanded telephone lines, with a dedicated toll-free number for publication and to answer customer questions. Such costs shall be paid directly by Underwriters on behalf of the **Insured**. No separate contract with the crisis management consultant is required; nor is closure of the restaurant required;

(i) Product Recall Expenses:

Reimbursement to the **Insured** for:

1. Costs incurred to remove actual or suspected contaminated food products from a **Covered Location**; and
2. The **Insured's** cost to replace **Insured's Products** that were discarded because of the **Incident**;

(j) Sanitization Costs at the Affected Covered Location:

Sanitization costs that are incurred solely and directly as a result of the **Incident**; and

(k) Other Expenses:

Similar, directly-related mitigation expenses with Underwriters' prior written approval.

- 4.15 “**Informant**” means any person, other than the **Insured** or other members of the **Insured’s Management**, providing material information not otherwise obtainable in return for a reward offered by the **Insured** in connection with an **Extortion Threat**.
- 4.16 “**Inoculations, Vaccinations and Testing Expenses**” means the expense of preventative inoculations, initial series vaccinations, and current infection testing for employees and customers of an **Affected Covered Location**.
- 4.17 “**Insured**” or “**Insureds**” means the entity or entities designated as the **Insured(s)** in Section A of the Declarations.
- 4.18 “**Insured’s Management**” means the **Insured’s** past or present Chairman, Chief Executive Officer, Managing Director, any executive or non-executive Director of the **Insured** and any person who holds or has held an equivalent position or who has or had authority to make decisions about the operation or management of the **Insured’s** business on behalf of the **Insured**, including any legal compliance, risk management, internal audit, or insurance department or division.
- 4.19 “**Insured’s Products**” means those food and drink products furnished at any **Covered Location** or **Trade Name Location** in the regular course of business at such location.
- 4.20 “**Loss Submission**” means a statement of **Actual Net Loss** and **Incident Response Expenses** prepared by the **Insured**, with all relevant supporting, verifying and backup documentation required to substantiate any claimed **Actual Net Loss**, **Incident Response Expenses**, or **Extortion Payment** as further set out in Section 7.3.
- 4.21 “**Malicious Contamination**” means an intentional, malicious and illegal alteration or adulteration of the **Insured’s Products**, or of ingredients used in the production or preparation of the **Insured’s Products**, that is likely to give the **Insured** and/or the public reasonable cause to believe that such products have been rendered unfit or dangerous for the use for which they were intended by the **Insured**.
- 4.22 “**Normal Gross Revenues**” means **Gross Revenues** the **Insured** can satisfactorily prove to Underwriters that would have been generated from its normal and customary business operations at an **Affected Covered Location** in the absence of an **Incident**. **Normal Gross Revenues** shall be determined by Underwriters based on an analysis of the **Gross Revenues** derived from the **Insured’s** normal and customary business operations at the **Covered Location** during the corresponding period in the year prior to the **Incident** (the prior year **Gross Revenues** being adjusted to allow for all material trends, variations or changes in market conditions which would have affected **Gross Revenues** of the **Insured** even in the absence of an **Incident**).
- 4.23 “**Normal Operating Margin**” means the percentage of **Insured’s Normal Gross Revenues** remaining after subtracting variable costs of sales. The percentage shall be based on an average of the **Insured’s** variable costs of sales prior to the **Incident**, with the months to be averaged selected from the one-year period prior to the **Incident**. Variable costs of sales include without limitation, costs of food, beverages, paper, hourly labor (including payroll taxes), credit card fees, and other costs which fluctuate with sales, but do not include taxes and other indirect fixed or semi-fixed costs such as rent, utilities, equipment leases, management or executive compensation, bonuses and interest.
- 4.24 “**Period of Insurance**” means the period of insurance coverage set forth in Section A of the Declarations.
- 4.25 “**Period of Restoration**” means the period that commences on the date of the **Incident** and ends on the earliest of the following dates:
- (a) The first date that the **Gross Revenues** derived from the **Insured’s** normal and customary business operations at each **Affected Covered Location** return to the **Normal Gross Revenues** for such **Affected Covered Location** and thereafter remain at or above the **Normal Gross Revenues** for such **Affected Covered Location** for the next six (6) consecutive days; or
 - (b) The date following two consecutive weeks in which the average daily **Gross Revenues** derived from the **Insured’s** normal and customary business operations at the **Affected Covered Location** are equal to or greater than the **Normal Gross Revenues** for that **Affected Covered Location**; or

(c) The end date of the period of time set forth in Section C of the Declarations “**Period of Restoration.**”

The **Period of Restoration** shall not be affected by the expiration of the **Period of Insurance**.

- 4.26 “**Public Announcement**” means an announcement, publication or broadcast in any media (including but not limited to radio, television, internet, social media, newspapers and magazines), or announcement by a **Public Health Authority**.
- 4.27 “**Public Health Authority**” means any governmental authority having or claiming to have jurisdiction over the **Insured’s** operations relating to health and hygiene standards for the protection of the public.
- 4.28 “**Recoverable Necessary Costs of Sales**” means those reasonable and necessary variable costs, as agreed between Underwriters and the **Insured**, that are incurred by the **Insured** to generate **Affected Gross Revenues**, that (a) are in excess of the **Insured’s** normal variable costs derived from the calculation of the **Insured’s Normal Operating Margin**, and (b) could not have been reasonably reduced or eliminated because the expenses were necessary to maintain the **Insured’s** normal and customary means of operating each **Affected Covered Location** during the **Period of Restoration**, and that reducing or eliminating the costs would cause the **Insured** undue hardship. **Recoverable Necessary Costs of Sales** shall never include any **Incident Response Expenses**.
- 4.29 “**Restaurant Event**” means an occurrence of the following:
- (a) **Food Borne Illness**, provided the **Food Borne Illness** resulted from operations at a **Covered Location** or at a **Trade Name Location** and did not result from, directly or indirectly, in whole or in part, a **Supplier Event**; or
 - (b) **Accidental Contamination**, provided the **Accidental Contamination** resulted from operations at a **Covered Location** or at a **Trade Name Location** and did not result from, directly or indirectly, in whole or in part, a **Supplier Event**; or
 - (c) **Malicious Contamination**, provided the **Malicious Contamination** resulted from operations at a **Covered Location** or at a **Trade Name Location** and did not result from, directly or indirectly, in whole or in part, a **Supplier Event**.
- 4.30 “**Supplier**” means all persons or entities in the chain of supply, downstream or upstream, used by any **Trade Name Location** or any **Covered Location**. This includes any person or entity who delivers, distributes, ships, transports, furnishes, provides, processes, possesses, stores, prepares, packages, creates, manufactures, grows, harvests, sorts, washes, or labels any items or services that are used, have been used, or may be used at any **Covered Location** or any **Trade Name Location**. Any such items and services include, but are not limited to, the **Insured’s Products**, any products provided or served at any **Trade Name Location**, any ingredients or commodities used in the creation, production, processing, growing, or preparation of the **Insured’s Products**, products provided or served at any **Trade Name Location** or any component parts.

Unless modified by an attached endorsement, an **Insured** or **Trade Name Operator** operating as a commissary, distribution center, or warehouse/storage facility for multiple restaurant locations is considered a **Supplier**. **Supplier** does not include any other **Insured** or **Trade Name Operator**.

- 4.31 “**Supplier Event**” means an occurrence of the following:
- (a) **Food Borne Illness** that is caused by, in whole or in part, an act, error, or omission by any **Supplier**; or
 - (b) **Accidental Contamination** that is caused by, in whole or in part, an act, error, or omission by any **Supplier**; or
 - (c) **Malicious Contamination** that is caused by, in whole or in part, an act, error, or omission by any **Supplier**.

An **Incident** is deemed to be a **Supplier Event** if one of the following conditions is met:

- (i) Any **Public Health Authority** determines the **Food Borne Illness, Accidental Contamination, or Malicious Contamination** was “more likely than not” caused by a **Supplier**; or
- (ii) Any **Public Announcement** that an actual, suspected or alleged **Food Borne Illness, Accidental Contamination, or Malicious Contamination** was caused by a **Supplier** whether or not an actual **Food Borne Illness, Accidental Contamination, or Malicious Contamination** is confirmed by testing.

4.32 “**Trade Name Location**” means any place of business, other than a **Covered Location**, of any establishment having the same trade name(s) as any trade name(s) set forth in Section A of the Declarations.

4.33 “**Trade Name Operator**” means any person or entity, other than an **Insured**, who operates a business establishment having the same trade name(s) as any trade name(s) set forth in Section A of the Declarations.

5. **CONDITIONS PRECEDENT TO UNDERWRITERS’ OBLIGATIONS UNDER THE POLICY**

It is a condition precedent to Underwriters’ obligations under this Policy that the **Insured** has:

- 5.1 Truthfully declared all material facts likely to influence a reasonable Underwriter in determining (a) whether or not to accept the risk, (b) the premium, and (c) the conditions, exclusions and limitations of this insurance; and the **Insured** has diligently made all necessary inquiries to establish these facts;
- 5.2 No knowledge at inception of the **Period of Insurance** of any undisclosed matter, fact or circumstance, actual or threatened, that increases or could increase the possibility of a loss under this insurance;
- 5.3 Paid the premium due in accordance with the conditions of the quotation included in the Application and/or in the ensuing quotation;
- 5.4 Declared that all information contained in the written Application or in documents supplied in support of such Application in all respects is full, true and complete. Further, the **Insured** agrees that all such information is material and forms the basis for the issuance of this insurance;
- 5.5 Advised Underwriters of any changes in the information described in this Section 5, which took place prior to the inception of the **Period of Insurance**;
- 5.6 In the event of an **Incident**, sought the immediate assistance of and has cooperated with the appointed crisis management consultant as defined in Section E of the Declarations. The fact that the dedicated crisis management consultant provides assistance to the **Insured** does not constitute acceptance by Underwriters that a claim or any loss is covered under this Policy; and
- 5.7 In the event of an **Incident**, complied with all applicable conditions and obligations set forth in Sections 3 and 7 of this Policy.

6. **EXCLUSIONS**

This insurance does not cover any **Actual Net Loss, Incident Response Expenses, Extortion Payments, or Inoculations, Vaccinations and Testing Expenses** directly or indirectly caused by, arising out of, contributed to by, in consequence of, or resulting from, any of the following:

- 6.1 Any cause or reason other than as a direct and sole result of an **Incident**;
- 6.2 Actual or threatened war, invasion, acts of foreign enemies, hostilities, insurrection, (whether war be declared or not), civil war, rebellion, revolution, military or usurped power, confiscation, nationalization, requisition or destruction of or damage to property by or under the order of any government or public or local authority;
- 6.3 Civil commotion assuming the proportions of or amounting to a popular uprising or riot, martial law or the act of any lawfully constituted authority in the furtherance of maintaining public order;

- 6.4 Seizure or destruction under quarantine or customs regulations, confiscation, nationalization or requisition or destruction of or damage to property, by or under the order of any government or public or local authority, or the handling of contraband or the engaging in illicit trade or transportation;
- 6.5 Nuclear radiation or contamination, including but not limited to the following:
- (a) Ionizing radiation or contamination by radioactivity from any nuclear fuel or from any nuclear waste from the combustion of nuclear fuel;
 - (b) The radioactive, toxic, explosive or other hazardous properties of any nuclear assembly or nuclear component thereof; unless caused directly and solely by an **Incident**;
- 6.6 Seepage and/or pollution and/or contamination unless it is discovered during the **Period of Insurance** and is the direct and sole cause of an **Incident**;
- 6.7 Any of the following:
- (a) Withdrawal, insufficiency or lack of financing, howsoever caused,
 - (b) The financial failure or lack of adequate receipts, sales or profits of any venture, other than a **Covered Location** when caused directly and solely by an **Incident**,
 - (c) Variations in the rate of exchange, rate of interest or stability of any currency, or
 - (d) Financial default, insolvency or failure to pay of any person, firm or corporation, whether a party to this insurance or otherwise;
- 6.8 A delay in resuming business operations at an **Affected Covered Location** due to interference by strikers or other persons (other than media personnel covering an **Incident**);
- 6.9 A suspension, lapse or cancellation of any license, lease or contract unless caused directly and solely by an **Incident**;
- 6.10 Any failure to discontinue operations at a **Covered Location** when a product, practice, circumstance, or event creates a situation that requires immediate correction or cessation of operation to prevent injury, as required by any federal, state, or local food code regulation or sanitation standard;
- 6.11 **Accidental Contamination** caused by violation of any federal, state, or local food code regulation or sanitation standard by any **Insured** or **Trade Name Operator**, if such **Accidental Contamination** was willfully committed with a reckless disregard for the health, safety, or welfare of the public;
- 6.12 Any announcement, publication, or broadcast by the **Insured**, media, or **Public Health Authority** concerning any health department inspection results or failure to comply with any federal, state or local food code regulation or sanitation standards by a **Covered Location** unless such announcement, publication, or broadcast occurs solely in direct connection to an **Incident**;
- 6.13 Any of the following:
- (a) Bovine Spongiform Encephalopathy (also known as “BSE”) and/or Creutzfeldt-Jakob disease (CJD),
 - (b) Hoof and Mouth disease;
 - (c) Genetically Modified Organisms; or
 - (d) Any Influenza, including but not limited to Influenza virus A, B, or C, Avian Flu, H1N1, or any mutant variations;
- 6.14 Any act, error, or omission of any person or entity, including but not limited to any **Supplier**, whom any **Insured** has released from liability or for whom any **Insured** has waived or limited the right of contribution, indemnity, subrogation or any other recovery rights or claims, unless Underwriters consent in writing to the waiver, release, or limitation. This exclusion applies regardless of whether such release, waiver, or limitation occurred before or after the **Incident**. This exclusion shall not apply to **Suppliers** that are owned in whole or in part by the **Insured**;
- 6.15 The delivery of; interruption of; actual, alleged or potential contamination of; or **Public Health Authority** warning not to consume: water from public utilities, private water services, or wells that supply water to a **Covered Location**. This exclusion shall **not** apply to bottled water served by the **Insured** in the regular course of business;

- 6.16 Any level of infestation, as described by any local, state, or federal health or sanitary regulation or code applicable to the infested premises, of rodent, varmint, vermin, or any other noxious or objectionable animals, including but not limited to ants, bees, bedbugs, beetles, cockroaches, fleas, flies, gnats, hornets, lice, mice, mosquitoes, moths, rats, spiders, or termites;
- 6.17 Aside from the costs of **Inoculations, Vaccinations, and Testing Expenses**, the cost of any other medical or other expense of any kind related to any employee, customer, or third party, such as, but not limited to: other medical testing, treatment, counseling, hospitalization, therapy, loss of earnings, transportation, lodging, or health insurance deductibles or benefits; or
- 6.18 The cost of secondary, follow-up, or “booster” Hepatitis A vaccinations, for either employees or customers.

This insurance also does not cover any of the following types of loss:

- 6.19 Any actual or alleged liability of the **Insured** to third parties arising from bodily injury, sickness, disease or death of any person or animal, or from damage to or destruction of any property, including loss of use thereof, or any other liability of the **Insured**, whether in tort or contract, to third parties, howsoever arising;
- 6.20 Fines or penalties of any kind;
- 6.21 Any actual or alleged damages arising from the destruction or impairment of any real or tangible property, including loss of use thereof, as well as any improvements to any real or tangible property; and
- 6.22 Any **Actual Net Loss, Incident Response Expenses, or Extortion Payments** directly or indirectly caused by, or resulting from, the operations of any person or entity sharing the same space as a **Ghost / Virtual Kitchen Covered Location** endorsed onto this Policy, that is not the **Insured**.

7. **DUTIES IN THE EVENT OF AN INCIDENT**

- 7.1 It is a condition precedent to Underwriters’ obligations under this insurance that in the event of any **Incident** occurring during the **Period of Insurance**, the **Insured**, or an individual authorized by the **Insured**, shall do all of the following:
 - (a) Provide Underwriters with immediate notice and a full description of the **Incident**, and diligently endeavor to seek the immediate assistance and cooperate with the appointed crisis management consultant in accordance with Section 5, Conditions 5.6;
 - (b) Notify the police or other applicable law enforcement agency if a law may have been broken;
 - (c) Resume the **Insured’s** normal and customary business operations at the **Affected Covered Locations** as soon as reasonably practicable at the same level of service that existed prior to the **Incident**;
 - (d) Take all reasonable steps to reduce the impact of the **Incident** by, without limitation, using the appointed crisis management consultants, and their recommended public relations specialists, advertising and the media to reestablish the reputation, trade name, and market share of the **Insured’s** business operations at each **Affected Covered Location**, cooperating in every reasonable respect with Underwriters and permitting Underwriters or their Appointed Representatives to, at Underwriters’ expense, take whatever actions Underwriters consider necessary to:
 - (i) Assess, prevent, mitigate or minimize a loss, and
 - (ii) Pursue all rights or remedies available to the **Insured** whether or not payment has been made hereunder;
 and
 - (e) Cooperate fully with Underwriters in the investigation of the claim, including but not limited to:
 - (i) Maintaining a comprehensive record of the expenses incurred and actions taken to prevent, mitigate or minimize the amount of loss that may be covered under this insurance and furnishing them to Underwriters upon request;
 - (ii) Producing any documentary evidence, books of account, bills, invoices and other vouchers and copies that Underwriters or their Authorized Representatives may require; and
 - (iii) Affording Underwriters reasonable access to the **Insured’s** premises at all **Affected Covered Locations**.

- 7.2 The **Insured** shall make no **Extortion Payment** without the prior written consent of Underwriters and in connection therewith shall at all times act in accordance with all applicable laws, regulations and law enforcement instructions.
- 7.3 In the event of any **Actual Net Loss** under Section 1.1, any **Incident Response Expenses** under Section 1.2, or **Extortion Payments** under Section 1.3, the **Insured** shall, as soon as practicable, but in no event later than six months after the maximum time allotted for the **Period of Restoration**, provide Underwriters with a **Loss Submission**, which sets out for each **Affected Covered Location**:
- (a) Historical and actual gross sales, in a format and covering a time period that is requested by Underwriters;
 - (b) Historical, detailed profit and loss statements, covering a time period prior to the **Incident** that is requested by Underwriters;
 - (c) A list of **Incident Response Expenses** with full supporting documentation.

The **Insured** shall maintain and produce any documentary evidence, books of account, bills, invoices and other vouchers and copies of the same related to the **Incident** which Underwriters may require, and the **Insured** shall afford Underwriters and their Appointed Representative every assistance in their investigations including reasonable access to the **Insured's** premises, personnel and necessary documents for the purpose of the computation of any **Actual Net Loss**, **Incident Response Expenses**, or **Extortion Payments**.

- 7.4 Within ninety (90) days of the **Insured's** receipt of all billing statements for **Inoculations, Vaccinations, and Testing Expenses**, the **Insured** must submit to Underwriters copies of such billing statements and evidence of the **Insured's** payment.

8. **CONDITIONS**

- 8.1 Any fraud, misstatement or concealment of the information provided by or on behalf of the **Insured** either in the procurement or issuance of this Policy, required disclosures under Section 5, or in the making of a claim under this insurance shall void this Policy.
- 8.2 If the **Insured** shall become aware during the **Period of Insurance** of any specific fact or circumstance which may reasonably be expected to result in an **Incident**, the **Insured** shall give immediate written notice to the Underwriters' representative identified in Section E of the Declarations for Claims Notification of:
- (a) The specific fact or circumstance;
 - (b) The loss or damage which has or may result from such fact or circumstance; and
 - (c) The means by which the **Insured** first became aware of such fact or circumstance.

If the **Insured** immediately provides the written notice required by this Section 8.2, any **Incident** that may subsequently arise from such fact or circumstance shall be deemed to have occurred on the date when such written notice was received by Underwriters' representative.

- 8.3 The **Insured** shall at all times do and concur in doing all things necessary to prevent, mitigate or minimize an **Actual Net Loss** under this insurance.
- 8.4 This insurance, the Declarations and the Application, and all Endorsements thereto, shall be read together as one contract, and any word or expression to which a specific meaning has been attached in any part of these documents shall bear such meaning wherever it may appear.
- 8.5 This insurance is primary. If any other insurance also applies to an **Incident** to which this Policy applies, we will share with all such other insurance by the following method:
- (a) If all such other insurance permits contribution by equal shares, each insurer will contribute equal amounts until it has paid its applicable limit of liability or none of the loss remains, whichever comes first; or
 - (b) If any such other insurance does not permit contribution by equal shares, we will contribute by limits. Under this method, each insurer's share is based on the ratio of its appropriate limits to the liability limits of all insurers.

- 8.6 This insurance may be canceled by the **Insured** at any time by written notice. This insurance may also be canceled by or on behalf of the Underwriters by delivering to the **Insured**, by registered, certified or other first class mail, at the **Insured's** address as shown in Section A of the Declarations, written notice stating when, not less than ninety (90) days thereafter (ten (10) days for nonpayment of premium), the cancellation shall be effective. The mailing of notice as aforesaid shall be sufficient proof of notice and this insurance shall terminate at the time specified in such notice.

If this insurance shall be canceled by the **Insured**, Underwriters shall retain the customary short rate proportion of the premium, except that if this insurance is on an adjustable basis, the Underwriters shall receive the customary short rate proportion of earned premium.

If this insurance shall be canceled by or on behalf of Underwriters, Underwriters shall retain a pro rata proportion of the premium.

Payment or tender of any unearned premium by the Underwriters shall not be a condition precedent to the effectiveness or date of cancellation, but such payment shall be made as soon as practicable.

In the event that a claim is made under the Policy, then, if the **Insured** or Underwriters shall at any time afterwards cancel this insurance, premium shall be considered as having been earned in the same ratio as the claim made bears to the "Total Policy Aggregate Limit of Indemnity" set forth in Section B of the Declarations, provided that this does not result in a larger return premium than would otherwise have been developed.

If the period set forth above relating to the giving of notice of cancellation by Underwriters is prohibited or made void by any law controlling the construction thereof, such period shall be deemed to be amended so as to be equal to the minimum period of notice permitted by such applicable law.

- 8.7 Underwriters shall be subrogated to the full extent of any actual or claimed payment under this insurance to all of the **Insured's** rights of recovery against any person or entity, and those rights shall be transferred to Underwriters immediately upon presentment of a claim for payment by the **Insured** to Underwriters. The **Insured** shall execute all papers required, shall do everything that may be necessary to secure such rights, and shall do nothing, before or after the loss, to impair such rights. Underwriters reserve the right to pursue an action for recovery from any person or entity, at their sole discretion and in the name of the **Insured** or otherwise. The **Insured** shall fully cooperate with Underwriters in pursuing their subrogating interest including submitting a claim to any party or entity who may also be responsible for payment of the loss, and prosecuting such an action, including without limitation, providing relevant documents, information, and testimony.
- 8.8 This insurance may not be assigned in whole or in part without the prior written consent of Underwriters. Any attempted assignment without Underwriters' prior written consent is invalid.
- 8.9 If under this insurance the loss payee is other than the **Insured**, all claim payments due under the terms and conditions of this insurance shall be made payable to the party(ies) listed in the Schedule of Loss Payee(s) Endorsement attached to the Policy. Payment of such losses by Underwriters to such loss payee(s) shall be a sufficient and complete discharge of all of Underwriters' obligations to the **Insured** and loss payee(s) in connection with said **Incident**.
- 8.10 In the event that Underwriters, their Appointed Representatives, or the crisis management consultant listed in Section E of the Declarations, make crisis management inspections at a **Covered Location** and/or provide crisis management reports, plans or recommendations related to conditions found, it is understood and agreed that those parties are not undertaking to ensure the health or safety of workers or the public. Additionally, should there be such inspections, reports, plans or recommendations, there will be no warranty that any of the **Insured's** premises or operations are free from harmful conditions or are in full compliance with any federal, state or local laws, regulations, codes or standards, nor do they assume any liability for the same.
- 8.11 Underwriters agree to pay the reasonable costs of **Crisis Management Expenses** during the coverage investigation of an **Incident**. In the event that coverage for the **Incident** is denied by Underwriters, Underwriters may elect to pay the reasonable cost of **Crisis Management Expenses** incurred after the denial but such expenses shall not exceed \$300,000 USD or the applicable **Incident Response Expenses** limit outlined in Section B of the Declarations,

whichever is less, and shall include the **Crisis Management Expenses** already incurred as of the date of the denial of coverage.

9. **CHOICE OF LAW, PRECEDENTS TO BRINGING SUIT, JURISDICTION AND APPRAISAL**

- 9.1 The rights and obligations of the **Insured** and Underwriters, under the Policy, including, but not limited to, the validity of this Policy, interpretation of its terms and conditions and disputes in any way arising under or relating to the Policy shall be construed and interpreted in accordance with the laws of the state of Texas without regard to any choice of law statutes or common law of the State of Texas, any other state, or the United States and without regard to the place of residence or business of the **Insured** or Underwriters or of the place where the loss arose.
- 9.2 No **Insured** shall take any action, including the filing of a lawsuit against Underwriters or Underwriters' Appointed Representative, until the **Insured** is in full compliance with all of the terms and conditions contained in this policy.
- 9.3 Any suit by any **Insured** brought under this insurance must be commenced within twenty-four (24) months after a claim or cause of action under this Policy has accrued.
- 9.4 If Underwriters and the **Insured** fail to agree on the amount of **Actual Net Loss, Incident Response Expenses, Extortion Payments or Inoculations, Vaccinations and Testing Expenses** payable under this insurance, either party may make a written demand to the other for an independent appraisal of the **Actual Net Loss, Incident Response Expenses, Extortion Payments or Inoculations, Vaccinations and Testing Expenses**. If such a written demand is made, Underwriters and the **Insured** will each select a competent and impartial appraiser who shall be a Certified Public Accountant with a professional background in the food and restaurant business.

The two appraisers will then select an umpire. In the event the two appraisers are unable to agree on an umpire, either may request that the selection of the umpire be made by a judge of a court of competent jurisdiction.

The appraisers will each make an independent determination of the **Actual Net Loss, Incident Response Expenses, Extortion Payments or Inoculations, Vaccinations and Testing Expenses**. If they fail to agree on the **Actual Net Loss, Incident Response Expenses, Extortion Payments or Inoculations, Vaccinations and Testing Expenses**, the umpire will decide the **Actual Net Loss, Incident Response Expenses, Extortion Payments or Inoculations, Vaccinations and Testing Expenses**, which decision will be binding upon the **Insured** and Underwriters. Each party will bear the expenses of its own appraiser and shall share equally in the expenses of the appraisal and for the umpire.

This Section 9.4 applies solely to the determination of the amount of **Actual Net Loss, Incident Response Expenses, Extortion Payments or Inoculations, Vaccinations and Testing Expenses** payable under this insurance and does not constitute a waiver of Underwriters' right to deny coverage under this insurance. Any decision by Underwriters to deny a claim hereunder may not be challenged by the **Insured** under the procedures set forth in this Section 9.4.